

Shri Satguru Metalloys (Pvt.) Ltd. v. State of U.P. & 3 Others

Allahabad High Court · Division Bench · 4 October 2013 · 2013 SCC OnLine All 8379 · Writ - C No. 54208 of 2013 · **Interim order** — **bank-guarantee demand under Clause 4.49 stayed**

HEADNOTE

Interim order. On an application for load enhancement, the consumer was required under Clause 4.49 of the U.P. Electricity Supply Code, 2005 to furnish a bank guarantee of about Rs. 1.79 crore. The consumer contended that the earlier final assessment of Rs. 3.58 crore had already been set aside on appeal (with no fresh assessment yet passed), so no demand could be raised, and separately challenged Clause 4.49 as arbitrary and violative of Article 14. Holding the matter to require consideration, the Court stayed the direction to furnish the bank guarantee unless a fresh assessment order is passed in terms of the appellate order.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.49

Bank-guarantee demand on load enhancement — interim stay; vires challenge

QUESTION

(Interim) Can a Clause 4.49 bank guarantee be demanded where the underlying assessment has been set aside on appeal and no fresh order passed?

HOLDING

Prima facie the matter requires consideration. As the final assessment had been set aside on appeal and no fresh assessment passed, the Court stayed the direction to furnish the Clause 4.49 bank guarantee unless a fresh assessment is passed in terms of the appellate order. The challenge to Clause 4.49 as violative of Article 14 was left for consideration.

¶ (order)

FLAG Interim order only; the vires of Clause 4.49 and the demand are reserved for final hearing.

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VIRES OF CLAUSE 4.49 AND VALIDITY OF THE BANK-GUARANTEE DEMAND

Reserved for final hearing; only interim stay granted. ¶ (order)